1 INTRODUCTION TO MICRO ECONOMICS AND MACRO ECONOMICS

(Total Marks : 07) **(Marks with Option : 10)**

MEMORY CHART

1 BRANCHES OF MODERN ECONOMICS

Micro Economics
- Derived from Greek word "*Mikros*" – 'small' or 'millionth part'.

Micro Economics
- Derived from Greek word "*Makros*" – mean 'large'.

Norwegian Economist Ragnar Frisch of Oslo University in 1933.

2 MICRO ECONOMICS

Definitions

Prof A. P. Lerner
- "Micro economics consists of looking at the economy through a microscope, as it were, to see how the millions of cells in the body of economy – the individuals or households as consumers and individuals or firms as producers play their part in the working of the whole economic organism."

Maurice Dobb
- "Micro economics is in fact a microscopic study of the economy."

3 SCOPE OF MICRO ECONOMICS

Theory of Product Pricing
- Demand Analysis
- Supply Analysis

Theory of Factor Pricing
- Rent
- Wages
- Interest
- Profit

Theory of Economic Welfare
- Efficiency in Production
- Efficiency in Consumption
- Overall Economic Efficiency

4 FEATURES OF MICRO ECONOMICS

(1) Study of Individual Units
(2) Price Theory
(3) Partial Equilibrium
(4) Based on Assumptions (Ceteris Paribus)
(5) Slicing Method
(6) Use of Marginalism Principle
(7) Analysis of Market Structure
(8) Limited Scope

5 IMPORTANCE OF MICRO ECONOMICS

(Reduced Syllabus for 2020-21)

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MACRO ECONOMICS

Definitions

J. L. Hansen

- "Macro economics is that branch of economics which considers the relationship between large aggregates such as the volume of employment, total amount of savings, investment, national income, etc."

Prof Carl Shapiro

- "Macro economics deals with the functioning of the economy as a whole."

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SCOPE OF MACRO ECONOMICS

- **Theory of Income and Employment**
  - **Theory of Consumption Function**
  - **Theory of Investment Function**
  - **Theory of Business Cycles**
- **Theory of General Price Level and Inflation**
- **Theory of Economic Growth and Development**
- **Macro Theory of Distribution**

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FEATURES OF MACRO ECONOMICS

(1) Study of Aggregates
(2) Income Theory
(3) General Equilibrium Analysis
(4) Interdependence
(5) Lumping Method
(6) Growth Models
(7) General Price Level
(8) Policy-oriented

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IMPORTANCE OF MACRO ECONOMICS

(Reduced Syllabus for 2020-21)

Focus on the following questions: Chatur's Important Questions

Q.1. Define Micro Economics. What are the features of Micro Economics?
Q.2. Define Macro Economics. What are the features of Macro Economics?
Q.3. Distinguish between Micro Economics and Macro Economics.